



How it works

Building wealth requires discipline and a long-term strategy for optimum results. For most people wealth is amassed over time using funds saved from income,

which are then invested to make even more money. It is a good idea to spread investments over a variety of financial instruments and if a person is not confident initially, it is worth seeking professional guidance.

3. Invest wisely

Investing is a balancing act—the nearer a person is to retirement the less risk they can afford.

- › **Factor in retirement age** Starting early gives savers greater flexibility.
- › **Consider options** Cash savings, shares, property, and pensions offer differing returns.
- › **Assess the risk factors** It is important to balance the yield versus risk of each option.

4. Maintain and manage wealth

Decisions made at the start will determine how quickly a person can build wealth.

- › **Reevaluate investments** Moving funds may mean better returns and lower fees.
- › **Time decisions** Global political and economic events affect when to sell, cash in, or reinvest.
- › **Make a will** A tax-efficient will ensures that wealth can be passed on.

70%
of US families
lose wealth
by the second
generation

DIFFERENT ROUTES TO BUILDING WEALTH

The aim of investing is to make money and there are ways to do it to suit your lifestyle and interests.



Traditional investment

Asset values fluctuate with economic changes, so many investors watch events closely to try to time their investments.



Through property

Residential property can provide capital growth or a steady rental income. Vacation homes generate less capital growth, but a potentially high income.



In businesses

Ideas require little to no investment and there can be long-term potential. Investing in a start-up can result in big gains, but many fail so it can be risky.